

Retail Research	IPO Note
Sector: Auto Ancillary	Price Band (Rs): 228 - 240
06th September 2024	Recommendation: Subscribe for Long Term

Kross Ltd.

Company Overview:

Kross Ltd. specializes in manufacturing and supplying trailer axles, suspension assemblies and a wide range of forged and precision machined high-performance safety critical parts for Medium & Heavy Commercial Vehicles (M&HCV) and Farm Equipment segments. The company supplies products to a diversified client base which includes large original equipment manufacturers (OEMs) manufacturing M&HCV and tractors, tier one suppliers to the OEMs in the M&HCV segment, domestic dealers and fabricators for its trailer axle and suspension business.

Key Highlights:

1. One of the prominent manufactures of trailer axles and suspension assemblies in India: Kross Ltd. is widely recognized as one of the leading manufacturers of trailer axles and suspension assemblies in India and is also one of the few Indian players which have the capabilities to manufacture both of these products in-house. Currently, the company has a manufacturing capacity of 60,000 trailer axle and suspension assemblies per annum.

2. Long-standing relationship with large OEMs: In over three decades of operations, the company has established long-standing relationship with large Indian OEM customers like Ashok Leyland, Tata International DLT Pvt. Ltd., leading farm equipment manufacturers and has also attracted global customers like Leax Falun AB (Sweden) and a Japan-based OEM through its proven track record and diverse product portfolio.

3. Diversified product portfolio: Kross Ltd. manufactures and supplies a wide range of forging and machined precision components and assemblies. It is widely recognized as a prominent manufacturer of trailer axles, suspension assemblies as well as differential spiders and specializes in producing high-precision safety-critical components for various applications. The company offers comprehensive one-stop solutions to its customers including design, process engineering and high-precision manufacturing which has allowed it to expand its product portfolio.

4. Integrated manufacturing facilities: The company operates five manufacturing facilities equipped with in-house product and process design capabilities. Such backward integration allows the company to attain greater control over processes, delivery timelines, pricing, quality and also improves operational efficiencies.

Valuation: At the upper price band of Rs 240, the company is valued at FY24 P/E multiple of 34.5x based on its post issue capital. The issue appears to be fairly valued given the healthy growth track record of the company. Kross' Revenue/EBITDA/PAT has grown at a CAGR of 44.4%/65.5%/91.8% respectively over FY22-24. The IPO proceeds will be used by the management to repay debt and funding future growth which will boost earnings growth for the company. We recommend subscribing to the issue for long term investment horizon.

Issue Details	
Date of Opening	09 th September 2024
Date of Closing	11 th September 2024
Price Band (Rs)	228 – 240
Offer for sale (Rs cr)	250
Fresh Issue (Rs cr)	250
Issue Size (Rs cr)	500
No. of shares	2,08,33,333
Face Value (Rs)	5
Post Issue Market Cap (Rs cr)	1,483 – 1,548
BRLMs	Equirus Capital Private Limited
Registrar	KFin Technologies Limited
Bid Lot	62 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NII shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding of capital expenditure requirements of the company towards purchase of machinery and equipment	70.0
Repayment or prepayment, in full or in part, of all or a portion of certain outstanding borrowings availed by the company, from banks and financial institutions	90.0
Funding working capital requirements of the company	30.0
General corporate purposes*	-
Total proceeds from fresh issue	250.0

**To be finalized upon determination of the Offer Price and will be updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.*

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	5,40,91,956	100.0
Public & Others	800	0.0
Total	5,40,92,756	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	4,36,75,289	67.7
Public & Others	2,08,34,133	32.3
Total	6,45,09,423	100.0

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24
Revenue from operation	297.5	488.6	620.3
EBITDA	29.5	57.4	80.8
PAT	12.2	30.9	44.9
EBITDA Margin (%)	9.9	11.8	13.0
PAT Margin (%)	4.1	6.3	7.2
ROE (%)	16.8	30.2	30.6
ROCE (%)	15.4	28.3	28.9
PE (x)*	106.7	42.1	28.9

**Note: Pre-issue PE based on upper price band*

Source: RHP, SSL Research

Risk Factors

- **High customer concentration:** The company derives a majority of its revenues from its top 5 customers which contributed to around 66% of its total revenue in FY24. Thus, any loss of sales to these customers due to loss of contracts or failure to negotiate acceptable terms may lead to an adverse impact on business and operations.
- **High competition:** The company faces competition from both domestic and international players and has to compete with players globally to retain existing businesses as well as to acquire new businesses. Some of the company's competitors may have an upper hand in retaining clients due to a larger pool of financial, technical and marketing resources.
- **Volatility in raw material prices:** The company depends on steel as its primary raw material which is characterized by volatile pricing and subdued availability leading to uncertain procurement and production. Apart from this, fluctuations in fuel and freight costs can further elevate the company's expenses and adversely affect its business due to lower sales and realizations.
- **Subdued demand in end-user industries:** The company's products find applications in M&HCV and Farm Equipment segments causing the company's revenue to be directly linked to the performance of these segments. The production and sales of these end products are generally influenced by various industrial activities and external factors which are beyond the company and its customer's control and can cause potential halt in operations.

Growth Strategies

- To expand existing manufacturing facilities to increase production and introduce new products.
- To expand geographical presence by growing exports.
- To reduce operating costs and improve operational efficiency.
- To reduce dependence on vendors through backward integration of facilities.

Revenue Split - End-user Industries

End-user Industry	FY22		FY23		FY24	
	Amount (Rs cr)	% of total revenue	Amount (Rs cr)	% of total revenue	Amount (Rs cr)	% of total revenue
M&HCV*	223.1	75.0	404.3	82.8	551.2	88.9
Farm Equipment	54.7	18.4	59.3	12.1	56.0	9.0
Other Component/Service	19.7	6.6	25.0	5.1	13.1	2.1
Total	297.5	100.0	488.6	100.0	620.3	100.0

*M&HCV includes trailer axle and suspensions

Source: RHP, SSL Research

Revenue Split – Product Wise (M&HCV, Farm Equipment)

Key Products	FY22		FY23		FY24	
	Amount (Rs cr)	% of total revenue	Amount (Rs cr)	% of total revenue	Amount (Rs cr)	% of total revenue
Trailer Axle and Suspension	66.9	22.5	162.8	33.3	269.1	43.4
Axle Shafts	38.8	13.0	57.7	11.8	66.3	10.7
Coupling Flanges	27.6	9.3	43.7	8.9	51.9	8.4
Anti roll bars & Stabiliser bar	17.5	5.9	39.6	8.1	51.0	8.2
Bell Crank Assembly	19.9	6.7	27.9	5.7	28.2	4.6
Trunion Pin	8.2	2.8	9.7	2.0	8.9	1.4
Differential Spiders	10.1	3.4	12.6	2.6	10.5	1.7
Tractor Parts	54.7	18.4	59.3	12.1	55.1	8.9

Source: RHP, SSL Research

Product wise Installed capacity & utilization - FY24

Product	Installed Capacity (units)	Production (units)	Capacity Utilisation (%)
Coupling Flanges	7,80,000	6,54,731	83.9
Differential Spiders	2,60,000	1,81,632	69.9
Axle Shafts	2,70,000	2,21,771	82.1
Trailer Axle & Suspension	60,000	40,929	68.2
Bell Crank Assembly	42,000	33,051	78.7
Anti Roll Bars & Stabilizer Bar Assembly	1,00,000	81,303	81.3

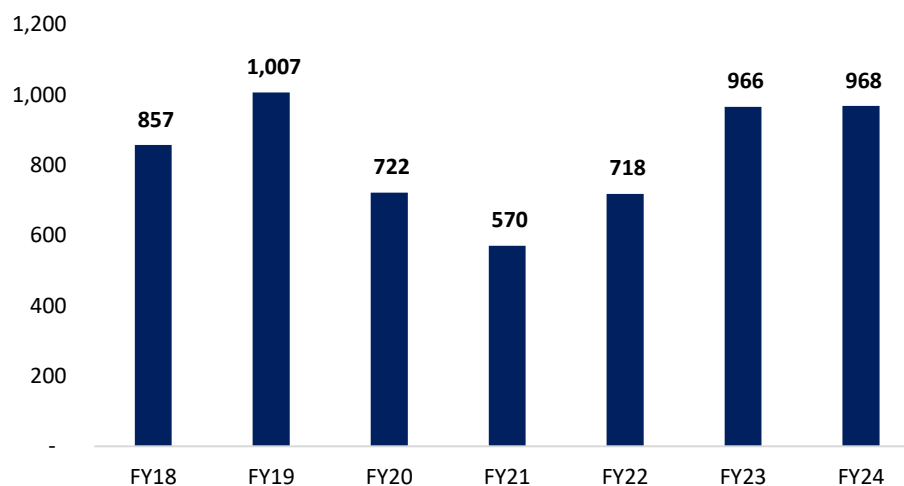
Source: RHP, SSL Research

Industry Overview

Indian Commercial Vehicle (CV) Industry:

Between 2018 and 2024, domestic commercial vehicle sales grew at an annual rate of 2.1%. In FY23, the industry experienced a significant recovery with a growth rate of 35% YoY, reaching 96% of pre-pandemic levels. This resurgence is attributed to pent-up replacement demand, improved transporter profitability and increased government spending. In FY24, the bus sales sector witnessed a substantial growth of 27% YoY, driven by strong replacement demand.

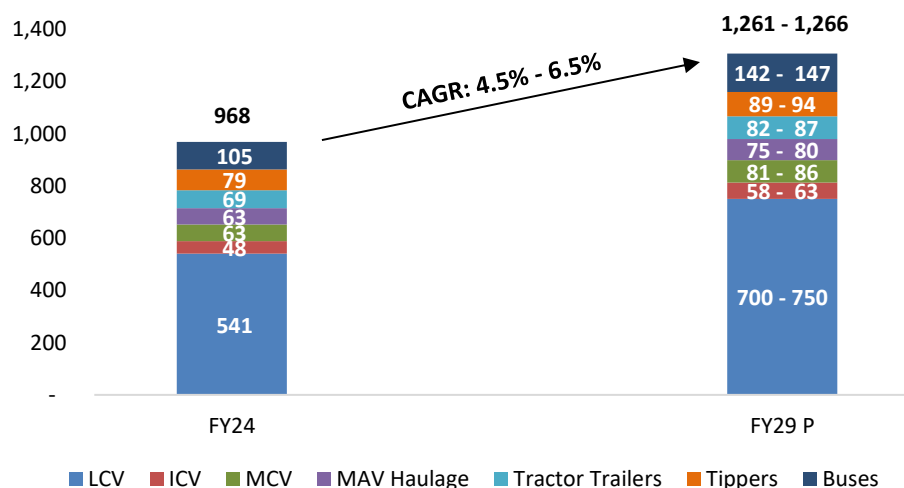
Domestic CV Sales volumes (in thousand units)



Source: RHP, SSL Research

Going forward, the domestic CV sales are projected to grow at a CAGR of 4.5%-6.5% between the forecast period 2024-29, led by a 5%-7% CAGR in the LCV segment. The M&HCV segment is expected to grow at a CAGR of 3%-5% during the same period backed by improved industrial activity, consistent agricultural output and government emphasis on infrastructure development.

Domestic CV Sales outlook (thousand units)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	297	489	620
YoY growth	-	64.3%	26.9%
Cost Of Revenues (incl Stock Adj)	160	290	356
Gross Profit	137	199	264
Gross margin	46.1%	40.7%	42.6%
Employee Cost	20	27	30
Other Operating Expenses	87	115	153
EBITDA	30	57	81
EBITDA margin	9.9%	11.8%	13.0%
Other Income	-	1	1
Interest Exp.	8	12	15
Depreciation	6	4	6
PBT	16	42	61
Exceptional item/Extraordinary item	-	-	-
Tax	4	11	16
PAT	12	31	45
PAT margin	4.1%	6.3%	7.2%
EPS	2.2	5.7	8.3

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	76	89	105
Capital WIP	-	-	5
Right of use assets	-	-	1
Other Intangible Assets	-	-	-
Other Non-current Assets	9	10	6
Current Assets			
Inventories	41	62	84
Current Investment	-	-	1
Trade receivables	50	52	110
Cash and Bank Balances	1	14	11
Short-term loans and advances	-	-	-
Other Current Assets	21	23	30
Total Current Assets	113	151	234
Current Liabilities & Provisions			
Trade payables	19	34	49
Other current liabilities	10	15	27
Short-term provisions	-	-	1
Total Current Liabilities	30	50	76
Net Current Assets	84	101	158
Total Assets	168	201	276
Liabilities			
Share Capital	14	14	27
Reserves and Surplus	59	89	120
Total Shareholders' Funds	72	102	147
Minority Interest	-	-	-
Total Debt	86	88	117
Long Term Provisions	5	5	5
Lease Liabilities	-	-	1
Other Long-Term Liabilities	-	-	-
Net Deferred Tax Liability	5	6	6
Total Liabilities	168	201	276

Cash Flow (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	18	42	8
Cash flow from Investing Activities	(12)	(19)	(30)
Cash flow from Financing Activities	(6)	(11)	15
Free Cash Flow	5	23	(13)

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets	6.2%	12.3%	12.8%
Return on Capital Employed	15.4%	28.3%	28.9%
Return on Equity	16.8%	30.2%	30.6%
Margin Analysis			
Gross Margin	46.1%	40.7%	42.6%
EBITDA Margin	9.9%	11.8%	13.0%
Net Profit Margin	4.1%	6.3%	7.2%
Short-Term Liquidity			
Current Ratio (x)	1.2	1.4	1.4
Quick Ratio (x)	0.8	0.8	0.9
Avg. Days Sales Outstanding	62	39	65
Avg. Days Inventory Outstanding	51	46	49
Avg. Days Payables	24	25	29
Fixed asset turnover (x)	3.9	5.5	5.9
Debt-service coverage (x)	0.3	0.5	0.6
Long-Term Solvency			
Total Debt / Equity (x)	1.2	0.9	0.8
Interest Coverage Ratio (x)	3.0	4.4	5.1
Valuation Ratios*			
EV/EBITDA (x)	46.8	23.9	17.4
P/E (x)	106.7	42.1	28.9
P/B (x)	17.9	12.7	8.8
EV/Sales (x)	4.7	2.8	2.3

**Valuation ratios are based on pre-issue capital at the upper price band*

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	Kross Ltd.	Ramkrishna Forgings Ltd.	Talbros Automotive Components Ltd.	Jamna Auto Industries Ltd.
CMP	240.0	970.0	338.0	122.0
Sales	620.3	3,955.0	778.0	2,427.0
EBITDA	80.8	842.0	115.0	329.0
Net Profit	44.9	341.0	110.0	205.0
Mkt Cap.	1,548.2	17,543.0	2,087.0	4,881.0
Enterprise Value	1,404.8	18,485.0	2,168.0	4,960.0
EBITDA Margin (%)	13.0	21.3	14.8	13.6
Net Margin (%)	7.2	8.6	14.1	8.4
PE (x)	34.5	51.3	19.0	23.7
EV/EBITDA (x)	17.4	22.0	18.9	15.1
RoE (%)	30.6	17.0	17.2	24.5
RoCE (%)	28.9	18.7	21.4	30.7
EV/Sales	2.3	4.7	2.8	2.0

For Kross Ltd., the Market Cap, PE (x), Enterprise Value, EV/EBITDA (x), and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as of 06th September, 2024.

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485

SEBI Registration No.: Stock Broker: INZ000200032 | DP Registration No.: IN-DP-314-2017

Research Analyst : INH000000602 | IRDA : CA0103 | PFRDA Registration No: POP 26092018

Registered & Corporate Office: Marathon Futurex, Unit No. 1201, B-Wing, 12th Floor, N M Joshi Marg, Mafatlal Mill Compound, Lower Parel East, Mumbai 400013For any information contact us: **(022) 6854 5555****E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

Analyst Certification: The views expressed in this research report ("Report") accurately reflect the personal views of the research analysts ("Analysts") employed by SBICAP Securities Limited (SSL) about any and all of the subject issuer(s) or company(ies) or securities. This report has been prepared based upon information available to the public and sources, believed to be reliable. I/We also certify that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

The Analysts engaged in preparation of this Report or his/her relative:-

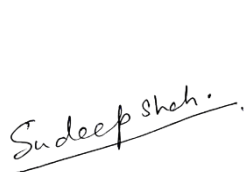
(a) do not have any financial interests in the subject company mentioned in this Report; (b) do not own 1% or more of the equity securities of the subject company mentioned in the report as of the last day of the month preceding the publication of the research report; (c) do not have any material conflict of interest at the time of publication of the Report.

The Analysts engaged in preparation of this Report:-

(a) have not received any compensation from the subject company in the past twelve months; (b) have not managed or co-managed public offering of securities for the subject company in the past twelve months; (c) have not received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (d) have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (e) has not received any compensation or other benefits from the subject company or third party in connection with the Report; (f) has not served as an officer, director or employee of the subject company; (g) is not engaged in market making activity for the subject company.

Name	Qualification	Designation
Sudeep Shah	MMS-Finance	DVP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	C.A.	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Sweta Padhi	MBA (Finance)	Research Analyst - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Ghanshyam Gupta	MBA (Finance)	Research Analyst - Currency Derivatives
Sagar Peswani	B.Tech (ECE)	Research Associate - Equity Technicals
Uday Chandgothia	B.Tech (Mech), MBA (Finance)	Research Associate - Equity Fundamentals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

For other Disclosures please visit: https://bit.ly/R_disclaimer02


Sudeep Shah

DVP – Technical & Derivative Research


Sunny Agrawal

DVP – Fundamental Research